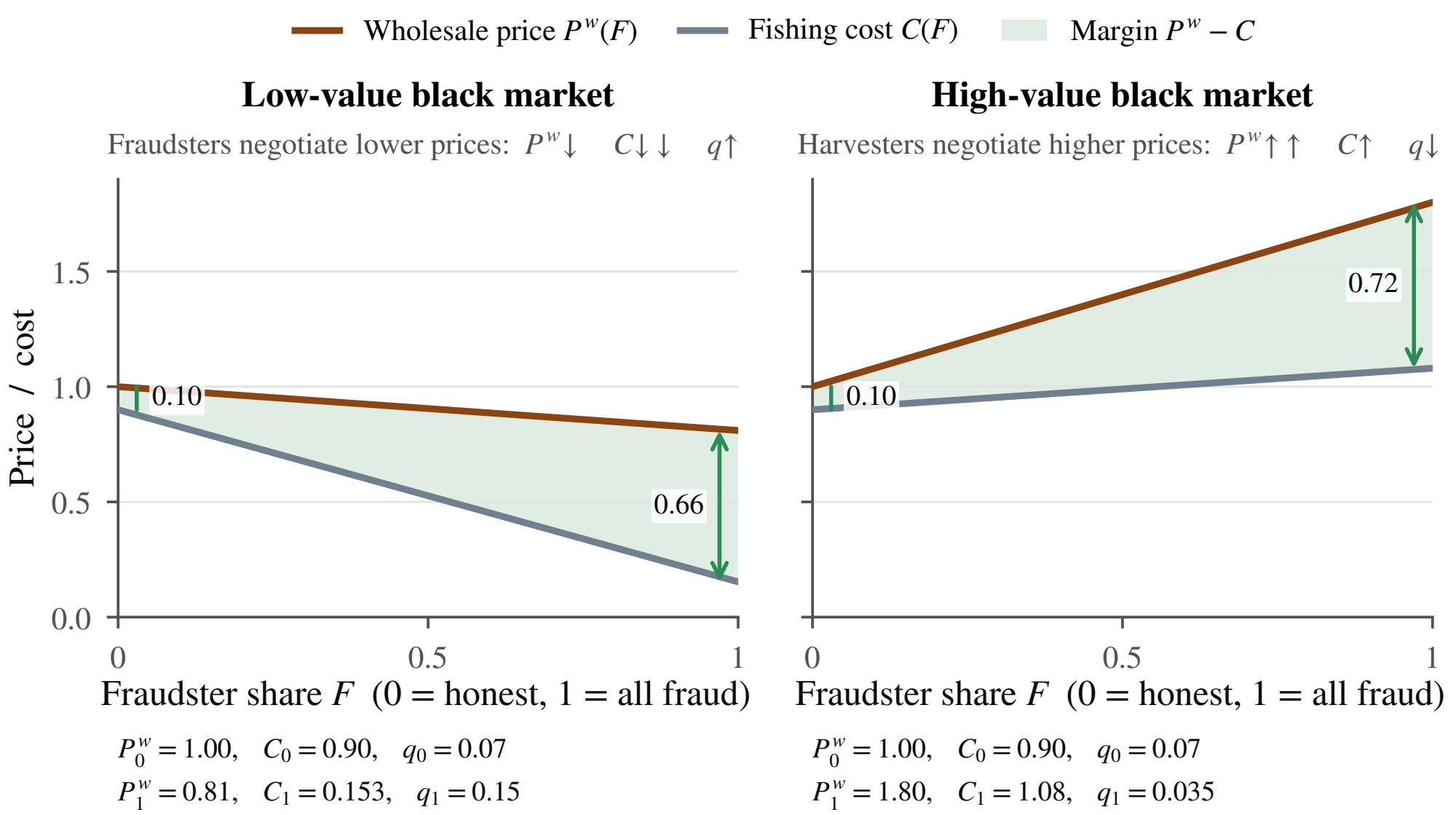
Wholesale price $P^w(F)$
Fishing cost $C(F)$
Margin $P^w - C$
Low-value black market
Fraudsters negotiate lower prices: $P^w\downarrow$ $C\downarrow\downarrow$ $q\uparrow$
High-value black market
Harvesters negotiate higher prices: $P^w\uparrow\uparrow$ $C\uparrow$ $q\downarrow$
Price / cost
1.5
1.0
0.5
0.0
0.10
0.66
0.10
0.72
0
0.5
1
Fraudster share F (0 = honest, 1 = all fraud)
$P_0^w = 1.00, \quad C_0 = 0.90, \quad q_0 = 0.07$
$P_1^w = 0.81, \quad C_1 = 0.153, \quad q_1 = 0.15$
$P_0^w = 1.00, \quad C_0 = 0.90, \quad q_0 = 0.07$
$P_1^w = 1.80, \quad C_1 = 1.08, \quad q_1 = 0.035$